Lawn Doctor

Franchise Decision Report

Source: 2025 Franchise Disclosure Document

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Executive Summary

Lawn Doctor is the oldest and largest franchise in the lawn care cohort — 58 years of continuous franchising and 653 outlets as of year-end 2024. It is PE-backed (CNL Strategic Capital) and discloses the richest Item 19 in the lawn wedge: four tables covering revenue by territory count, customer metrics, gross profit margins, and a 16-year historical revenue trend. The 2024 system average of $1.13M per Strategic-Partner (all territories combined) and median of $659K sit well above most peer systems, and the 16-year trend shows consistent upward growth from $367K average in 2009.

The core tension is cost. At $300K gross revenue, annual franchisor fees total $78,800 (26.3% of revenue) — the highest among the four established brands in the cohort. The primary driver is a mandatory local advertising minimum of the greater of $30,000 or 10% of Net Revenues, paid on top of a 10% flat royalty. At $500K, the fee burden moderates to 24.6%, but a Lawn Doctor franchisee always sends more to the franchisor than a Spring-Green or Weed Man operator at equivalent revenue. The franchise fee itself is also the highest: $124K–$127K (a bundled package including equipment leases, training, and initial supplies).

System health is genuinely strong. The 2024 reporting year showed +23 net growth with only 1 closure and 0 non-renewals — the cleanest year in recent history. Turnover dropped from 6.7% (2022) to 1.6% (2024). The 85.4% average gross profit margin (Table C, 2023 data) is the highest in the cohort — though this figure deducts only materials, not labor, making it not directly comparable to Spring-Green's or NaturaLawn's margin figures which include direct labor in COGS. A buyer choosing

Lawn Doctor is paying a premium for scale, disclosure depth, and system stability — the question is whether the fee structure leaves enough room for the economics to work in your specific territory.

Decision Scorecard

Quick-read assessment across key buyer decision dimensions. Ratings reflect this brand's position relative to the lawn care cohort.

DIMENSION	RATING	SUMMARY
Entry cost burden	**WEAK**	Highest in cohort: $150K–$177K total investment including $124K–$127K franchise fee (bundled with equipment/training/supplies). Fee is 2–5× higher than peers.
Ongoing fee burden	**WEAK**	4th of 6 in full cohort (26.3% at $300K). Among the 4 established brands: 3rd of 4. 10% flat royalty + $30K+ mandatory local ad spend drive the burden.
System stability	**STRONG**	Largest system (653 outlets). Only 1 closure in 2024. Turnover dropped from 6.7% to 1.6% over 3 years. 23 net new units in 2024.
Revenue disclosure	**STRONG**	Richest Item 19 in lawn cohort: 4 tables with revenue by territory count, customer metrics, gross margin, and 16-year trend. System average $1.13M.
Disclosure quality	**STRONG**	No litigation. Clean filing. Comprehensive Item 19 population disclosure (205 of 229 Strategic-Partners). 16-year historical trend is rare.
Downside risk profile	**MIXED**	High fee burden is the primary risk. Gross margin (85.4%) deducts only materials — not labor — creating potential for margin misperception. PE ownership standard for lawn.
Buyer fit breadth	**MIXED**	Strong for buyers with $150K+ capital who prioritize system scale and disclosure. Weak for budget-sensitive or first-time buyers due to high entry and ongoing costs.
Overall	**NOTABLE**	The strongest combination of disclosure depth and system stability in the lawn cohort, offset by the highest entry cost and one of the highest ongoing fee burdens. Scale and transparency come at a price.

OVERALL POSTURE

Lawn Doctor is the scale-and-transparency play in this cohort. It offers the largest system (653 outlets), the deepest disclosure (4-table Item 19 with 16-year trend), and the lowest recent attrition (1.6%). But it is also the most expensive to enter and among the most expensive to operate. The fee structure — 10% royalty, $30K+ mandatory local advertising, $9K+ call center — takes a substantial share of revenue at every level. A buyer should treat Lawn Doctor's disclosure depth as an analytical advantage for due diligence, not as a guarantee of returns. The fee burden is the price of that transparency and system scale.

Buyer-Fit Profile

Best fit for

- **Well-capitalized buyer seeking maximum system support and transparency:** If you have $150K+ in capital and prioritize being part of the largest lawn care franchise system with the best disclosure, Lawn Doctor delivers. The 16-year revenue trend, customer metrics, and gross margin data give you more due diligence material than any peer.
- **Multi-territory operator:** The Item 19 shows operators with 4+ territories averaging $2.57M in net revenues. At that scale, the fee burden dilutes and the gross margin (85.4%) on a materials-only COGS basis leaves room for owner income after labor costs.
- **Buyer in established markets who will acquire existing territories:** With 653 units and consistent transfer activity (28, 22, 9 transfers across 3 years), resale territories are available. Buying an existing book avoids the ramp period where the high fee burden is most punitive.

Weaker fit for

- **Budget-sensitive first-time buyer:** The $124K–$127K franchise fee alone exceeds the total investment at NaturaLawn ($78K–$153K range) and Spring-Green ($118K–$134K). You will have the highest cash-at-signing requirement in the cohort.
- **Single-territory operator at sub-$400K revenue:** At $300K revenue, $78,800 goes to the franchisor (26.3%). After materials (estimated 14–15% based on 85.4% gross margin), roughly $175K remains for labor, overhead, and owner draw. In a seasonal business with significant labor costs, this may be tight.
- **Buyer who wants marketing autonomy:** The $30K+ mandatory local advertising minimum is non-negotiable and is managed through the franchisor's approved channels. If

you want to allocate your own marketing spend based on local conditions, this structure constrains you.

Proceed only if

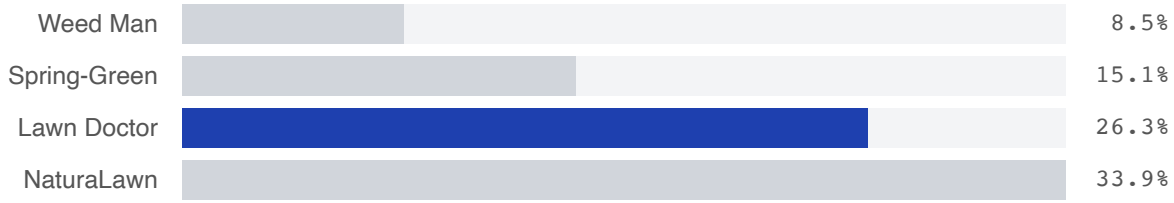
- You have modeled your territory's likely revenue against the fee structure — not just the system average ($1.13M) but the median for your territory count. Single-territory operators (1–3 territories) have a median of $380K, where the fee burden is highest.
- You understand that the 85.4% gross margin deducts only materials, not labor. Your actual margin after paying employees will be substantially lower. Ask for labor cost benchmarks during discovery day.
- You have compared the total cost of Lawn Doctor (entry + 10-year fees) against Spring-Green and NaturaLawn, which offer similar services at lower ongoing cost — with the trade-off of less system scale and disclosure depth.

Fee Burden Analysis

Lawn Doctor has the highest ongoing fee burden among the four established brands in the cohort at every revenue level below $500K. At $300K revenue, total franchisor fees are $78,800 (26.3%). The primary drivers are the 10% flat royalty ($30,000) and the mandatory local advertising minimum of the greater of $30,000 or 10% of Net Revenues ($30,000 at this level). At $500K, the fee burden remains 24.6% — nearly double Spring-Green's 13.5%.

AT REVENUE	ROYALTY	MARKETING	TECH / OTHER	TOTAL	% OF REV	COHORT RANK
$200,000	$20,000	$35,500	$12,800	**$68,300**	34.2%	3/4
$300,000	$30,000	$36,000	$12,800	**$78,800**	26.3%	3/4
$400,000	$40,000	$48,000	$12,800	**$100,800**	25.2%	3/4
$500,000	$50,000	$60,000	$12,800	**$122,800**	24.6%	4/4

Cohort fee burden at $300K revenue



Total annual franchisor fees as a percentage of $300K gross revenue. Includes royalty, marketing, technology, and all mandatory recurring fees.

Component breakdown

- **Royalty (10% flat):** The highest flat royalty rate in the cohort (tied with Spring-Green's first tier). Unlike Spring-Green, there are no volume discounts — 10% applies regardless of revenue. Payable weekly. 'Net Revenues' = gross collected from customers excluding taxes and refunds. (p. 15)
- **Local advertising (greater of $30,000 or 10% of Net Revenues):** This is the most aggressive local marketing requirement in the lawn cohort. At $300K revenue, the floor matches the percentage; at $400K+, the percentage exceeds the floor. Spent on radio, digital, direct mail, and other local media through approved channels. (pp. 15, 25)
- **National/regional advertising fund (currently 0%):** Franchisor reserves the right to establish a fund of up to 2% of Net Revenues, but it is not currently active. If activated, this would add $6,000–$10,000/year at $300K–$500K revenue. (p. 15)
- **Technology ($150–$250/month):** $150/month until cumulative Net Revenues reach $1M, then $250/month. Can increase to $500/month at franchisor's discretion. Relatively modest compared to peers. (p. 20)
- **Call center ($750/month = $9,000/year):** Mandatory Lawn Doctor Answer Center. $750/month currently. Handles customer inquiries and scheduling. (p. 20)
- **Convention ($2,000/year):** $2,000 registration fee for mandatory annual convention, plus travel and lodging. (p. 16)

> **What this means:** At $300K revenue, $78,800 goes to the franchisor — $33,500 more than Spring-Green ($45,318) and $53,250 more than Weed Man ($25,550). Over a 10-year term, that gap compounds to $335,000–$532,500 of additional fees paid to Lawn Doctor vs. peers. The question is whether Lawn Doctor's system scale, brand recognition, call center infrastructure, and disclosure depth justify that premium.

> **THE LOCAL AD MINIMUM IS THE KEY DIFFERENTIATOR**
>
> Strip out the local advertising minimum, and Lawn Doctor's fee burden falls to $48,800 at $300K (16.3%) — competitive with most peers. The $30,000 floor is what pushes the total to 26.3%. A buyer should evaluate whether the franchisor's mandatory local advertising program generates proportional lead volume. Ask current franchisees: does the $30K minimum translate to enough customers to justify the spend?

Item 19 Interpretation

Lawn Doctor discloses the richest Item 19 in the lawn care cohort — four tables covering revenue segmented by territory count, customer-level metrics, gross profit margins, and a 16-year historical revenue trend for the system. (pp. 53–55)

Revenue by territory count (Table A, 2024)

205 Strategic-Partners operating 2+ full years, representing 490 of 653 total Lawn Doctor Businesses. Revenue is per Strategic-Partner (all their territories combined), not per territory.

- **1–3 territories (146 SPs):** Average $682K, median $380K. Range: $35K–$3.65M. Only 32% met or exceeded the average — strong right-skew.
- **4–6 territories (39 SPs):** Average $1.47M, median $1.38M.
- **7–9 territories (11 SPs):** Average $2.57M, median $2.39M.
- **10+ territories (9 SPs):** Average $5.39M, median $4.63M.
- **All SPs combined (205):** Average $1.13M, median $659K. Only 29% met or exceeded the average.

Customer metrics (Table B, 2024)

- **Average customer program value:** $860 (median $648). This represents total revenue per customer-program, not per service visit.
- **Average customer tenure:** 6.15 years (median 4.21). The high tenure suggests strong recurring revenue — customers stay more than 4 years at the median.
- **Annual revenue per customer:** $765 (median $576).

Gross profit margin (Table C, 2023 data)

- **Average: 85.4%, median: 84.5%.** 130 of 205 Strategic-Partners included (75 excluded for insufficient data). 41.5% met or exceeded the average.

Critical comparability warning

Lawn Doctor's COGS deducts only materials (chemicals, fertilizer, supplies). It does **not** include direct labor. Spring-Green (68.1% margin) and NaturaLawn (60.7–65.2% margin) both include direct labor in their COGS calculations. These margins are **not directly comparable**. Lawn Doctor's 85% margin overstates the operating profit available to the franchisee relative to peers who show 60–68% margins with labor included.

16-year trend (Table D, 2009–2024)

Average net revenues grew from $367K (2009) to $1.13M (2024) — a 208% increase over 16 years. Median grew from $207K to $659K (218%). The trend is consistently upward with the exception of 2020 (COVID year). This is the most comprehensive historical disclosure in the lawn cohort and shows a system that has compounded revenue steadily.

What's missing

- **Per-territory revenue:** Revenue is per Strategic-Partner, not per territory. A Strategic-Partner with 4 territories averaging $1.47M total is not making $1.47M per territory — likely $350K–$400K per territory. The median for 1–3 territory SPs ($380K) is the closest proxy for single-territory economics.
- **Labor costs:** The 85.4% gross margin excludes labor entirely. Lawn care is labor-intensive (seasonal crews, training, equipment operation). Actual operating margin after labor is likely 30–50 percentage points lower. The FDD provides no labor cost benchmarks.
- **Net income or profit:** No profitability data is disclosed. After fees ($78,800 at $300K), materials (~$45K at 85% margin), labor (unknown), and overhead, the owner's income is uncertain.

From gross revenue to owner economics

The Item 19 gives revenue and materials-only COGS. Here is what we can estimate:

For a median single-territory SP ($380K revenue):

- Materials at ~15% (from 85% gross margin): ~$57K
- After materials: ~$323K
- Franchisor fees at $300K (conservative proxy): ~$73K (scaled from the $78,800 at $300K model)
- After fees: ~$250K
- Estimated labor (40–50% of remaining, based on industry benchmarks for seasonal lawn care): $100K–$125K
- Overhead (vehicle, insurance, office, misc): $30K–$50K
- Implied pre-tax owner income: $75K–$120K

For an average single-territory SP ($682K revenue):

- Materials at ~15%: ~$102K
- After materials: ~$580K
- Franchisor fees (interpolated): ~$122K

- After fees: ~$458K
- Estimated labor: $160K–$200K
- Overhead: $40K–$60K
- Implied pre-tax owner income: $198K–$258K

> **THE LABOR GAP IS THE CRITICAL UNKNOWN**
>
> The 85.4% gross margin looks exceptional — until you account for the fact that labor is excluded. In seasonal lawn care, direct labor (technicians, crew leaders, seasonal workers) typically represents 30–45% of revenue. At $380K revenue, that could be $114K–$171K. The "high margin" story depends entirely on labor efficiency, which the FDD does not disclose. Your discovery day should focus heavily on labor cost benchmarks from current franchisees.

> **What this means:** A single-territory operator at the median ($380K) likely takes home $75K–$120K before taxes — viable as a full-time business but not exceptional. At the average ($682K), the math improves materially to a potential $200K+ owner draw. The fee burden matters more at lower revenue levels, where every dollar sent to the franchisor comes directly out of the owner's income. Multi-territory operators ($1.4M+) are where the Lawn Doctor economics become genuinely attractive.

Buyer-Side Economics Reality Check

Important framing: This is not a profitability forecast. It is an illustrative scenario exercise using Lawn Doctor's disclosed Item 19 revenue data. The FDD does not disclose net franchisee profitability or labor costs. The 85.4% gross profit margin deducts only materials — not labor, vehicle costs, insurance, or overhead. Your actual results depend on territory size, local labor market, customer density, seasonal length, and execution. These scenarios use estimated COGS of 55% (materials + estimated labor) based on lawn care industry benchmarks. This is an assumption, not a disclosed figure.

SCENARIO	REVENUE	FRANCHISOR FEES	EST. COGS	REMAINING
Median single-territory SP	$380,000	$96,400 (25.4%)	$209,000	**$74,600**
Average single-territory SP	$682,000	$122,800 (18.0%)	$375,100	**$184,100**
Average 4–6 territory SP	$1,470,000	$122,800 (8.4%)	$808,500	**$538,700**

Revenue from Item 19 Table A (2024, 205 Strategic-Partners operating 2+ years). COGS estimated at 55% of revenue: ~15% materials (from disclosed 85.4% gross margin) + ~40% estimated direct labor (industry

benchmark for seasonal lawn care; NOT disclosed in FDD). This COGS estimate is illustrative, not extracted. 'Remaining' must cover vehicle costs, insurance, office overhead, owner draw, and taxes.

Illustrative Payback Sensitivity

Investment Breakdown

Highest entry cost in the cohort: $150,070–$177,052 total. The franchise fee alone ($124K–$127K) exceeds the total investment at NaturaLawn. The fee is a bundled package including: $50,000 initial license fee, $70,600 initial training/supply/support fee, and $6,400 in equipment lease deposits (Turf Tamer applicator and power seeder). The $3K variation depends on local agronomic conditions affecting equipment needs.

CATEGORY	LOW	HIGH
Initial Franchise Fee (Total)	$123,950	$127,000
Service Vehicle	$1,800	$2,400
Shipping of Turf Tamer Power Seeder	$0	$500
Computer Software	$225	$500
Computers	$0	$2,000
Opening Inventory for lawn care products/materials	$500	$500
Rental Space	$0	$3,000
Bookkeeper	$325	$400
Training Expenses (per attendee)	$2,500	$4,000
Utility/Security Deposit	$200	$200
Insurance	$800	$1,000
Opening Holiday Lighting Inventory	$6,000	$14,000
Start-Up Equipment Package for holiday lighting	$2,400	$2,800
Uniforms	$250	$500
Utility/Security Deposit (Holiday Lighting)	$200	$200
Additional Funds - 3 Months	$10,920	$18,052
Total	**$150,070**	**$177,052**

What the franchise fee buys

- **Initial license fee ($50,000):** The territory rights and brand license. Nonrefundable. (p. 13)
- **Training/supply/support fee ($70,600):** Covers initial training program, initial supply of materials, equipment setup, and launch support. (p. 13)
- **Equipment lease deposits ($6,400):** Turf Tamer Stand-On Applicator ($3,350) and Power Seeder ($3,050). These are lease deposits, not purchases. The equipment remains franchisor property. (p. 13)

Beyond the franchise fee

- **Vehicle:** $7,000–$10,000 (used truck or van). Many operators start with a personal vehicle.
- **Insurance:** $2,000–$5,000 (general liability, workers' comp, vehicle).
- **Additional working capital:** $14,000–$28,000 for first 3 months of operations.
- **Local advertising (first year):** The $30,000+ minimum begins immediately. This is operating cost, not a one-time charge, but the initial cash impact is significant.

> **What this means:** A Lawn Doctor franchise requires roughly $150K–$177K before you earn your first dollar. The high franchise fee reflects the bundled equipment and training package — you are not buying just a territory, you are buying a turnkey launch kit. But the capital requirement means this is not an entry-level franchise. Buyers with less than $175K in liquid capital should consider Spring-Green ($118K–$134K) or NaturaLawn ($78K–$153K) as alternatives with lower entry barriers.

System Health

Largest and most stable system in the cohort. 653 outlets at year-end 2024, with net growth of +11, +6, and +23 over the three reported years. Turnover declined sharply: 6.7% (2022) to 5.0% (2023) to 1.6% (2024). The 2024 result — only 1 closure against 24 openings — is the cleanest system health year any lawn cohort brand has reported.

YEAR	OPENED	CLOSED	NET	END COUNT
2022	24	13	+11	624
2023	15	9	+6	630
2024	24	1	+23	653

Outlet trajectory

- **2022:** 613→624 (+11 net). 24 opened, 13 closed. 28 transfers — healthy resale market. Turnover 6.7%.
- **2023:** 624→630 (+6 net). 15 opened, 9 closed. 22 transfers. Turnover 5.0%.
- **2024:** 630→653 (+23 net). 24 opened, 1 closed, 0 non-renewals. 9 transfers. Turnover 1.6%.

Transfer activity

28, 22, and 9 transfers across the three reported years. The declining transfer count could signal fewer franchisees wanting to exit (positive) or fewer buyers in the resale market (ambiguous). At this system size, transfer activity is a normal part of franchise lifecycle.

PE ownership context

Owned by CNL Strategic Capital. PE ownership is standard across the lawn cohort — Lawn Doctor, Spring-Green's corporate parent, and NaturaLawn all have institutional backing of some form. The PE ownership does not appear to have driven aggressive expansion or extraction behavior: growth has been steady, not hockey-stick, and attrition has declined.

> **What this means:** For a 58-year-old system with 653 units, 1.6% turnover is exceptional. Most franchise systems at this scale experience structural attrition of 3–8% annually just from retirements, market exits, and non-renewals. The 2024 result suggests franchisees are staying, which is the strongest available proxy for franchisee satisfaction. But it is one year — the 3-year trend is more informative, and even the 6.7% from 2022 was respectable.

Risk Signals

Litigation

No litigation required to be disclosed (Item 3). No bankruptcy (Item 4). This is a clean legal history — uncommon for a system this size and age.

Entity and ownership

LD Parent, Inc., backed by CNL Strategic Capital, LLC. Straightforward entity structure. The franchise is operated under a "Strategic-Partner" model rather than the traditional "franchisee" terminology. This is a branding choice, not a legal distinction — the FDD is a standard franchise disclosure document.

Fee escalation risk

The national/regional advertising fund (up to 2% of Net Revenues) is currently at 0% but could be activated at any time. If implemented, this would add $6,000–$10,000/year at $300K–$500K revenue on top of an already-high fee burden. Technology fees can also increase to up to $500/month at franchisor's discretion. (pp. 15, 20)

Seasonal concentration

Lawn care is inherently seasonal in most markets. Revenue concentrates in the April–October window (varies by geography). Cash flow management during the off-season is a real operational challenge that the annual revenue averages in Item 19 do not surface. The FDD does not disclose monthly revenue patterns.

Peer Context

Among the four established brands in this cohort, Lawn Doctor occupies a distinctive position: highest cost, highest transparency, most stable system. It is the premium choice — you pay more and you see more.

Closest comparison: Spring-Green. Similar services, similar maturity (48 vs. 58 years), both with tiered/flat royalties near 10%. But Spring-Green's total fees at $300K are $45,318 (15.1%) vs. Lawn Doctor's $78,800 (26.3%). The $33,500 annual gap is almost entirely driven by Lawn Doctor's $30K local advertising minimum — Spring-Green has no equivalent floor. Spring-Green's Item 19 is solid (3 tables, $744K average for single-territory operators) but less deep than Lawn Doctor's 4-table, 16-year dataset.

Value alternative: NaturaLawn. Lowest entry cost ($78K–$153K) and highest revenue per customer ($810 vs. Lawn Doctor's $765). But NaturaLawn's fee burden at $300K is actually the highest in the cohort ($101,584, 33.9%) due to $60K–$80K mandatory marketing spend. NaturaLawn's Item 19 is limited to 6 company-owned and 40 franchised locations — far smaller samples than Lawn Doctor's 205 SPs.

Budget play: Weed Man. Lowest fees in the cohort by a wide margin (8.5% at $300K). But Weed Man declines Item 19 entirely — no revenue, no margin, no customer data. A buyer choosing Weed Man over Lawn Doctor is trading disclosure and system support for the lowest possible fee structure. This trade-off is only appropriate for operators with independent market knowledge who do not need FDD-based revenue benchmarks.

METRIC	LAWN DOCTOR	NATURALAWN	SPRING-GREEN	WEED MAN
System size	653	88	126	121
Investment range	$150K–$177K	$77K–$152K	$117K–$134K	$81K–$109K
Fee burden at $300K	$78,800	$101,584	$45,318	$25,550
% of revenue	26.3%	33.9%	15.1%	8.5%
3-year net growth	+40	+6	+4	+27
Recent attrition	0.2%	2.0%	0.0%	0.0%
Royalty rate	10.0%	9.0%	varies	varies

Decision overlay

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Discovery Day Diligence Script

These questions are derived from specific findings in the Lawn Doctor 2025 FDD. Each includes context on why it matters and what to listen for.

1. What are typical annual direct labor costs for a single-territory operator in my region?

The 85.4% gross margin deducts only materials, not labor. You need labor cost benchmarks to build a realistic P&L.

STRONG ANSWER SOUNDS LIKE

They provide a range with regional context (e.g., '$60K–$100K for 2 seasonal technicians in the Midwest'). Even better if they reference Item 19 data to show how labor fits into the margin picture.

FOLLOW-UP

What percentage of net revenue should I expect to spend on direct labor in my first 3 years?

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2. The mandatory local advertising minimum is $30,000 or 10% of Net Revenues. What is the typical lead volume and cost per lead generated by this spend?

At $300K revenue, local advertising is 10% of gross — you need evidence it works.

STRONG ANSWER SOUNDS LIKE

They provide average leads per $1K spent, cost per acquired customer, or conversion rates from the local advertising program. Data from comparable markets to yours.

FOLLOW-UP

Can I see anonymized lead generation data for 3 Strategic-Partners in similar-sized markets?

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3. Table A shows the median for 1–3 territory SPs is $380K. What does a typical first-year trajectory look like in my market?

The median is for operators with 2+ years. First-year revenue is likely lower. You need ramp expectations.

STRONG ANSWER SOUNDS LIKE

They provide first-year revenue benchmarks or ramp curves showing expected quarters to reach median performance. Honest about seasonal startup timing.

FOLLOW-UP

What percentage of first-year Strategic-Partners reach $200K in their initial year?

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4. The national/regional advertising fund is currently at 0%. Under what circumstances would you activate it, and what would the funds be used for?

The FDD reserves the right to charge up to 2% for a national fund. If activated on top of the current fee structure, total fees would exceed 28% at $300K.

STRONG ANSWER SOUNDS LIKE

Clear criteria for activation and specific planned uses. Honest about likelihood and timeline. Acknowledgment that this would increase total fees.

FOLLOW-UP

Is there a franchisee vote or consent mechanism before the fund is activated?

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5. The franchise fee is $124K–$127K including equipment leases and training. If I decide to exit after 3 years, what is the residual value of these assets?

The equipment (Turf Tamer applicator, power seeder) remains franchisor property via lease. The training/support fee is sunk. Understanding residual value is critical for exit planning.

STRONG ANSWER SOUNDS LIKE

They explain what assets you retain vs. what reverts to the franchisor. Honest about transfer fee structure and resale market conditions.

FOLLOW-UP

What was the average resale price for territories that transferred in 2024? What percentage of the original investment did sellers typically recover?

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6. Technology fees can increase from $150/month to $500/month at LDI's discretion. What has the historical fee increase pattern been?

A $350/month potential increase ($4,200/year) adds to an already-high fee burden.

STRONG ANSWER SOUNDS LIKE

They provide historical fee increase data and explain the rationale. Demonstrate that increases have been gradual and tied to service improvements.

FOLLOW-UP

Has LDI ever decreased a recurring fee, or do increases only go one direction?

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7. 75 of 205 Strategic-Partners were excluded from the gross margin data (Table C) for 'insufficient information.' What does that mean?

37% exclusion rate for margin data. If the excluded SPs have systematically lower margins, the 85.4% average overstates the system.

STRONG ANSWER SOUNDS LIKE

They explain the data collection process and whether the exclusions are random or correlated with performance. Ideally: 'These SPs didn't submit complete cost data, and we believe their margins are similar.'

FOLLOW-UP

Could you survey the excluded SPs to get a fuller picture of system margins?

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8. Customer tenure averages 6.15 years. What is the annual customer attrition rate, and how does it vary by territory age and geography?

High tenure is positive, but you need to understand the churn rate to model customer acquisition costs against the $30K+ local ad spend.

STRONG ANSWER SOUNDS LIKE

They provide annual retention rates and acknowledge geographic variation (shorter tenure in competitive markets, longer in established territories).

FOLLOW-UP

What is the typical cost to acquire a new customer through the local advertising program?

Source & Methodology

Source document: Lawn Doctor 2025 Franchise Disclosure Document, filed with the Wisconsin Department of Financial Institutions. 281-page regulator-source PDF. SHA-256:

`166b21cec41e10ecb70c65908db42514ee2835ca4769008f33a5d76a59a753b9`

Extraction: Structured data extraction using pdfplumber with manual review. Field-level provenance recorded (source year, state, page number, item reference). Extraction confidence: high (3+ fields spot-checked against source).

Fee modeling: Year 5 assumptions, single territory, 1 owner + 1 technician. Revenue distributed evenly across the year. All mandatory fees enforced. See fee_modeling_framework.md for full methodology.

Economics scenarios: Revenue estimates drawn from Item 19 data. COGS ratio is brand-specific (derived from available company-owned P&L data; see Economics section for derivation and assumptions). Scenarios are illustrative, not predictive. Operating costs beyond franchisor fees and COGS are not estimated — the buyer must validate these independently.

Peer comparison: Same methodology applied to all 4 brands in this cohort (Lawn Doctor, NaturaLawn, Spring-Green, Weed Man). All from 2025 FDDs filed with Wisconsin DFI.

Disclaimer: This report is not legal advice, investment advice, or a recommendation to buy or avoid this franchise. It is a structured analysis of publicly available regulatory filings. The buyer should read the actual FDD, consult a franchise attorney, and conduct their own due diligence before making any investment decision. Economics scenarios are illustrative frameworks for buyer-side thinking — not profitability forecasts.